

Fast-Growth & Fundraising

**The ambitious UK companies
raising venture capital**

Introduction

As one of the most common types of investors deploying equity finance in the UK, private equity and venture capital funds are a central part of the country's high-growth ecosystem.

Whilst the amount of capital available in the UK's startup landscape continues to grow, our research has indicated that this is increasingly being deployed to later-stage businesses, with early-stage startups being left out in the cold.

So what do the companies that managed to secure their first round of funding from a private equity or venture capital firm in 2021 have in common?

In this report, we explore these ambitious businesses' growth journeys, to get a picture of what it takes to secure venture finance in the UK right now. Using these commonalities as indicators, we then spotlight four startups likely to be seeking capital from private equity or VC firms in 2022.

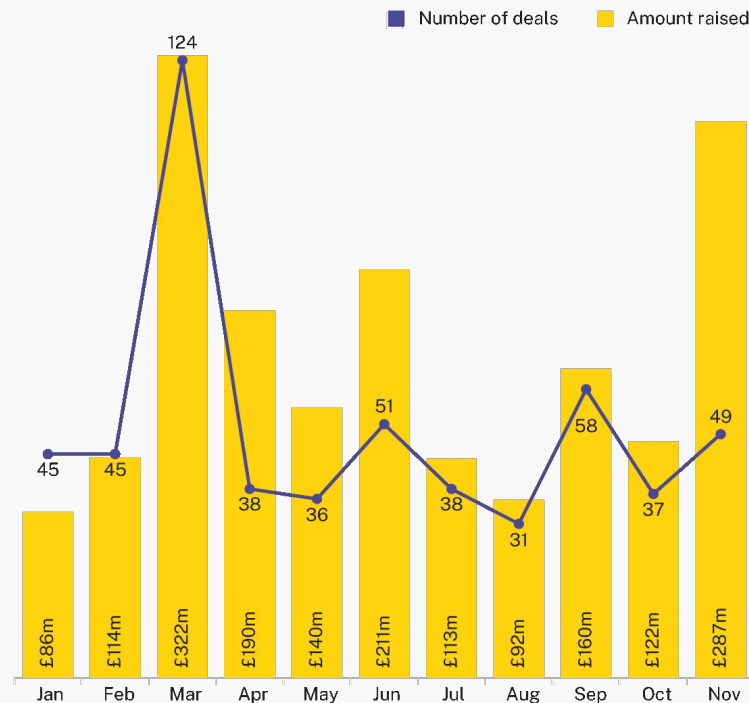
First-time VC rounds in 2021

Between January and November 2021, an impressive 552 UK companies announced their first private equity or venture capital funding round.

Deal numbers remained relatively steady throughout the year but peaked dramatically in March, at 124 first-time PE/VC rounds, compared to an average of 45 deals in other months. This March spike is in keeping with wider trends across the UK funding landscape this year, particularly for deals involving PE/VC funds.

Amount raised also peaked in March (£322m), perhaps a result of delayed investments from 2020, amidst COVID market hesitation. Despite dropping back down in Q2 and Q3, amount raised resurged somewhat in November, landing on £287m worth of first-time PE/VC rounds for the month.

Volume and value of first-time PE/VC deals announced (Jan-Nov 2021)



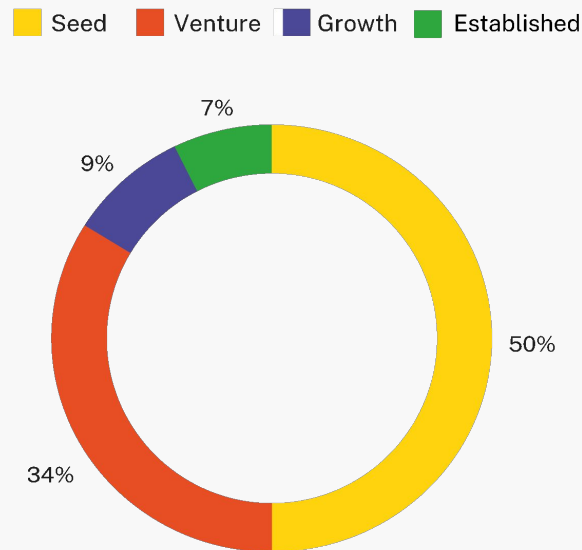
Stage of evolution

When raising their first round with a PE/VC fund this year, 50% of investee companies were operating at the seed stage. This means they were young businesses, with a relatively low employee count and valuation, little to no investment secured, and an uncertain product-market fit.

Meanwhile, around a third (34%) were operating at the venture stage at the time of their first PE/VC deal — companies with an established business model and revenue streams that have likely been around for several years, and may be expanding their initial product or service range.

Given that PE/VC funds tend to invest in earlier-stage companies, it comes as no surprise to find that seed and venture-stage startups were by far the most common recipients of first-time venture funding.

Company stage of evolution at time of first PE/VC-backed deal



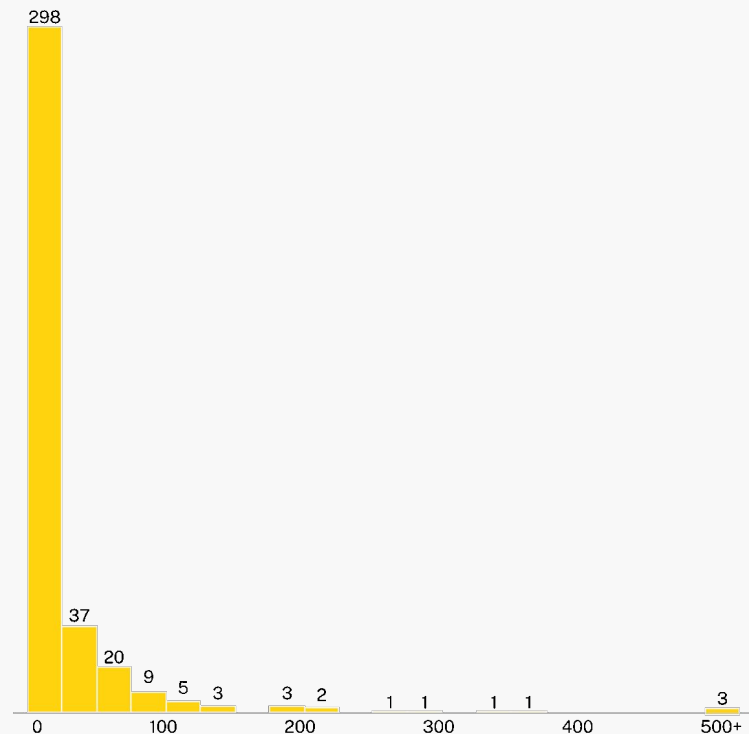
Employee count

The vast majority of companies that secured their first PE/VC round in 2021 (and for which employee count was known) had fewer than 25 employees at the time of fundraising, at 77%. A far smaller proportion had employee numbers of 25-50 (10%), 50-75 (5%) and 75-100 (2%).

Only 23 companies are known to have had more than 100 employees. Three businesses had more than 500 employees: healthcare firm PAM (543), social care provider CSN Care Group (1,133), and contact centre outsourcer ResQ (1,325).

On the whole, companies with relatively few employees are more likely to need and be seeking equity investment, and were thus far more likely to secure first-time PE/VC funding this year than their peers.

Employee count reported in filings prior to first PE/VC investment



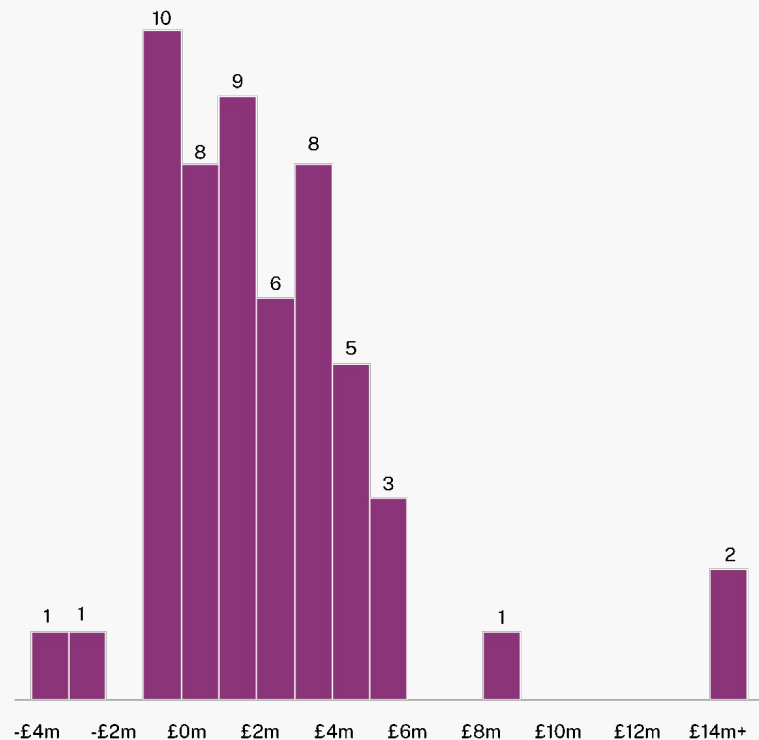
EBITDA

Of the 54 businesses that disclosed company financials prior to their first PE/VC fundraising, 78% reported positive earnings before interest, taxes, depreciation and amortisation (EBITDA). Most businesses (91%) reported an EBITDA between -£1m and £6m.

Just three companies exceeded this, with the maximum reported figure being £31.9m, by established supply chain management and transport logistics firm Ligentia. None of the businesses that received their first round of PE/VC funding this year had an EBITDA of less than -£4m.

Businesses with relatively small, positive EBITDA were most likely to secure investment from PE/VC funds, having proven some traction, with the potential to produce strong ROI for investors.

EBITDA reported in filings prior to first PE/VC investment



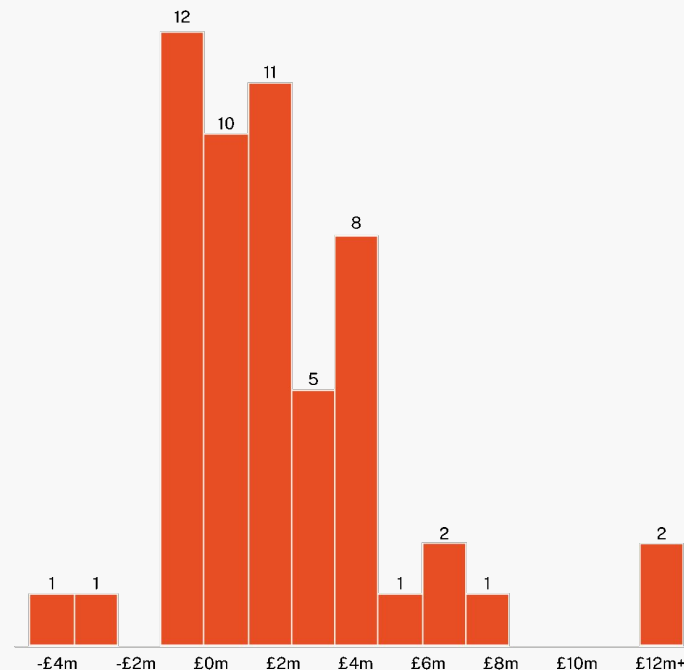
Operating profit

The operating profit of businesses securing PE/VC funding for the first time in 2021 follows a very similar trend to EBITDA figures: 74% of companies reported positive operating profits prior to their PE/VC raise.

Similarly to EBITDA, 91% of investee companies reported operating profits between -£1m and £6m. The lowest reported profits were -£3.85m, whilst Ligentia again marked the upper bound of the range, at £30.9m.

Businesses with relatively small but positive operating profits are the most likely to secure PE/VC backing.

Operating profit reported in filings prior to first PE/VC investment



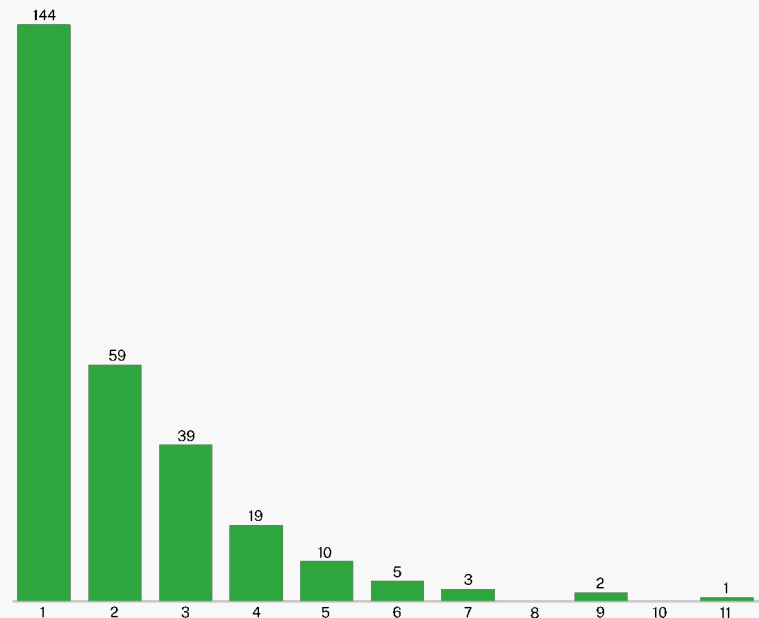
Previous equity deals

Around half of investee companies already had equity fundraisings under their belt prior to their first PE/VC round this year. But the remaining 270 businesses (49%) had never raised equity finance before.

One in four businesses (26%) had secured one previous equity deal ahead of their PE/VC round, whilst 11% had secured two. The more equity fundraisings a company had, the less likely they were to raise first-time PE/VC funding in 2021 — just 4% had secured five or more rounds.

Private equity and venture capital firms like to see a certain amount of traction before investing in a business. For businesses to gain this traction, they often require other forms of finance first, such as loans, or angel and family/friend rounds.

Number of equity rounds secured prior to first PE/VC investment



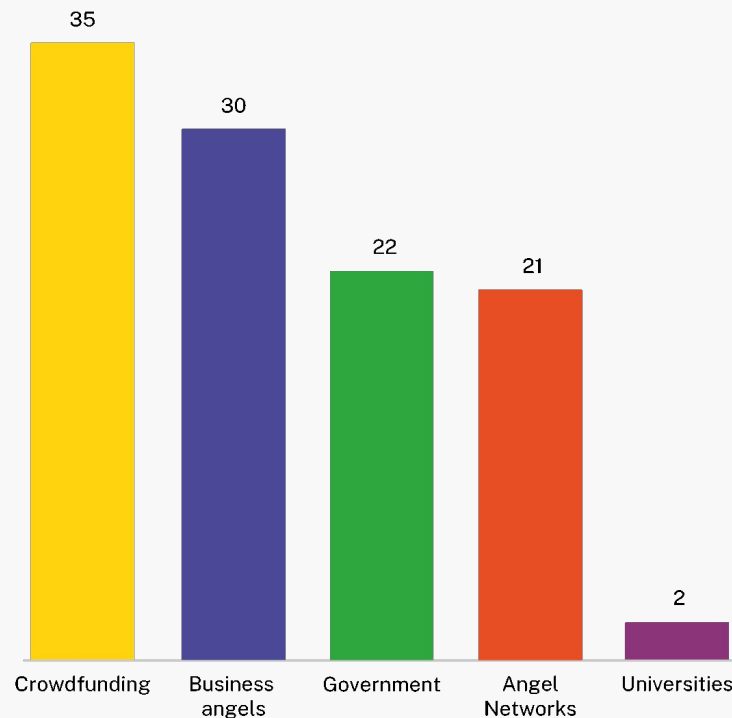
Existing investors

Where the funds involved were disclosed, 46 of these previous equity deals saw participation from angel investors, including both individual angels (30) and networks (21).

But crowdfunding platforms were the most common single source of funding, facilitating 35 rounds secured by businesses prior to their first-time PE/VC raise in 2021. This method of fundraising for early-stage startups with an engaged customer base has become increasingly popular over the past decade.

These figures show that early investors in high-growth companies are often individuals rather than institutions. But whilst angel investing and crowdfunding is used to develop a proof of concept or minimum viable product, ambitious businesses often need the investment of PE/VC funds to then reach the next stage in their growth journeys.

Fund types involved prior to first PE/VC investment



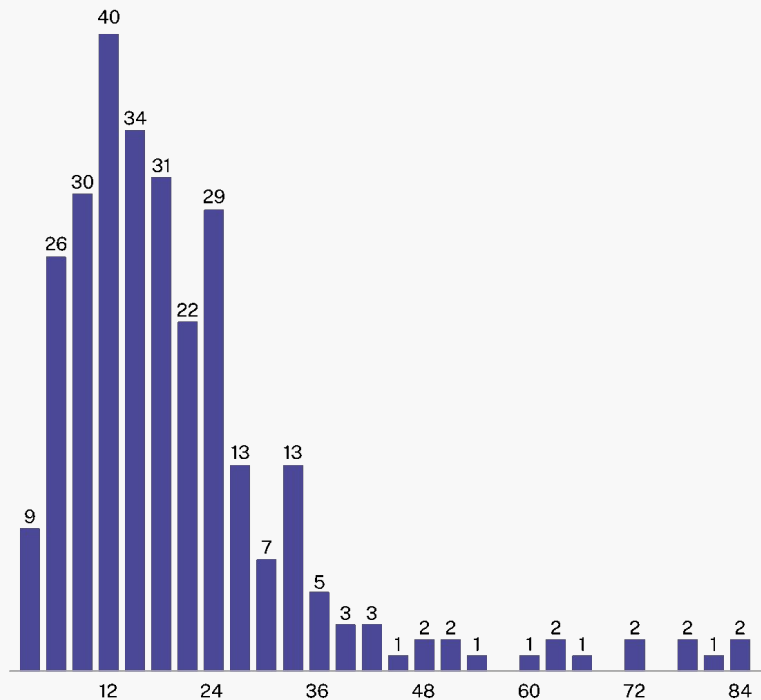
Time since previous raise

Of those that had already secured equity investment, 37% had last done so in the 12 months before their first PE/VC round. Meanwhile, the majority (78%) had raised their previous funding round up to two years prior.

Once a company has secured an initial round of funding, they will likely experience a sharp period of growth as they put that capital to work. Following this, they'll then need and have the capacity to take on larger sums of money.

Since businesses usually start preparing for a new fundraising at least six months in advance, those that last raised around 4-6 months ago may well be considering their first PE/VC round.

Number of months since equity round prior to first PE/VC investment



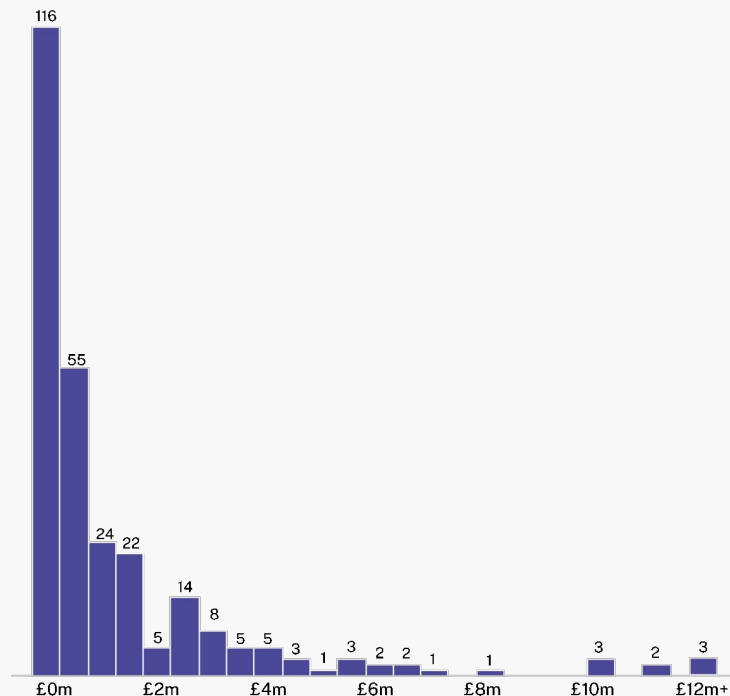
Value of previous rounds

Of the 275 companies that had secured previous equity rounds and the amount raised is known, 42% had secured less than £500k ahead of their first PE/VC round this year. And the majority (62%) of businesses had raised less than £1m.

An additional 31% has previously raised between £1m and £5m. Just 18 companies had raised more than £5m prior to securing their first round of venture finance in 2021.

Unsurprisingly, companies that have only small amounts of equity funding are far more likely to need growth capital than those with significant investments under their belts. They're thus more likely to seek investment from private equity firms or VCs.

Amount of equity investment secured prior to PE/VC investment



**4 fast-growth
companies likely to
be fundraising soon**

Key indicators

As expected, the types of companies most likely to be on the lookout for funding from private equity and venture capital firms are early-stage startups with relatively few (<25) employees, looking to scale their business.

Our research also indicates they're likely to have secured either no prior equity investment or less than £1m, through a small number of rounds (most likely involving angels or the crowd). If they have secured funding, then their most recent round will likely have occurred four to six months ago.

Those reporting small but positive EBITDA and operating profits will be in a better position to gain PE/VC backing than their peers.

We've picked out four high-growth UK companies that match this profile and are hence likely to be seeking venture finance in the near future.

Last year, two of the businesses that we predicted would start fundraising soon (Supernotes and Deepfinity) did in fact raise new investment, within three months of our report being published.

1. Boxx

Boxx provides at-home and in-studio fitness classes, specialising in boxing workouts. Founded in 2016 by Anna Samuels, the company is currently based in Redbridge, East London.

Boxx attended Libra 1.0, Tech Nation's accelerator programme for tech companies with at least one Black or multiracial founder, between September 2021 and March 2022.

Boxx is likely to seek investment from private equity and venture capital firms soon, meeting

many of our key indicators: it's currently operating at the seed stage, has 5-9 employees, and has secured just one equity fundraising so far.

The £155k round took place in June 2021 (six months ago), at a post-money valuation of £1.57m. It saw involvement from Cornerstone Partners, an angel network that supports diverse founding teams in the UK, as well as individual angel investors.

2. Valentian Vermouth

Valentian Vermouth was founded in 2017, and is currently headquartered in Melrose, in the Scottish Borders. The drinks company has paired wines from small batch producers in Italy with a Scottish new make malt spirit, usually reserved for single malt whisky.

It already stocks its range of vermouths in several bars in Scotland, and was awarded a £4k grant by the Scottish Borders Business Fund, back in February 2020.

In June 2021 (six months ago), Valentian Vermouth secured its first equity round, worth £111k, at a post-money valuation of £510k. The raise was facilitated by crowdfunding platform Crowdcube, and will be used to open Valentian Vermouth's first location, and hire a PR agency and in-house sales team.

With just 1 employee as of March this year, we expect this seed-stage company will be seeking additional funding from VCs soon.

3. Skyfarer

Based in Coventry, Skyfarer is developing a system of unmanned aerial vehicles (UAVs) for the delivery of medical supplies, such as blood and vaccines, at speed. Skyfarer's low-cost system will enable companies, NGOs and governments to introduce drones to their logistics, from infrastructure development to humanitarian aid networks.

Founded in mid-2019, it entered the European Space Agency Business Incubation Centre (ESA BIC UK) accelerator programme in August 2021. Skyfarer meets several of our criteria for companies likely to be seeking venture finance. The venture-stage startup has fewer than 25

employees, and just one equity fundraising under its belt. Having secured a £49.4k Innovate UK grant in July 2020 (as part of a six-month project), Skyfarer raised pre-seed investment from Minerva Business Angel Network in July 2021 (five months ago) to support its trials — although the amount raised was not disclosed.

Confirming our suspicions, according to Skyfarer's LinkedIn page, the company is currently “looking for capital funding to develop our final prototype and set up a robust operational process into an operational platform that can be scaled nationally”.

4. Black Ballad

Founded in 2014, Black Ballad operates a lifestyle platform focused on the experiences of Black women in the UK, and provides an online publication for Black-owned brands and content. The London-based media company attended the King's20 accelerator in September 2018, a one-year programme for startups led by students, staff or alumni of King's College London.

In February 2020, it also received a £70k grant to tell the stories of Black women outside of London, on their own terms. The grant was awarded by

Future of News Fund, powered by NESTA and Bethnal Green Ventures.

More recently, Black Ballad secured its first equity investment, a £337k crowdfunding round via Seedrs, in July 2021 (five months ago). The company is currently operating at the venture stage, and has between 10 and 24 employees. Based on these indicators, we think Black Ballad is likely to be seeking venture finance soon.

Looking for investment opportunities like these?

We can help you find them.

Explore **all** of the UK's most ambitious companies on the Beauhurst platform, from early-stage startups to scaleups.

Our **data insights** and **state-of-the-art tools** enable hundreds of users to find, engage, and win exciting new business, **in less time than ever before**.

Find out for yourself! Click the button below to sign up for a demo.

[Book a free demo](#)

